IN THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH, NEW DELHI

Company Petition (CAA) No. (CAA)-119(PB)/2021

Connected with

Company Application (CAA) No. 62 (PB) OF 2021

(Under Section 230 & 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

Between

Roto Power Projects Private Ltd

..... Petitioner Company/Transferor Company No. 1

Tenon Support Services Private Limited

..... Petitioner Company/Transferor Company No. 2

Tenon Project Services Private Limited

..... Petitioner Company/Transferor Company No. 3

And

Tenon Facility Management India Private Limited

..... Non-Petitioner Company/Transferee Company

Order Pronounced on 22.09.2022

CORAM:

SHRI RAMALINGAM SUDHAKAR

HON'BLE PRESIDENT

SHRI AVINASH K SRIVASTAVA

HON'BLE MEMBER (TECHNICAL)

Present:

For the Applicant	:	Mr. Kartikeya Goel, Advocate
For the Income Tax Department	:	Mr. Ruchir Bhatia, Sr. Standing Counsel alongwith Mr. Shlok Chandra and Ms. Mansie Jain, Advocates
For the Official Liquidator	:	Ms. Hemlata Rawat, Advocate
For the Regional Director	:	Ms. Shankari Mishra, Advocate

ORDER

PER- AVINASH K SRIVASTAVA MEMBER (TECHNICAL)

1. The present Joint Petition is filed by Petitioner Companies viz., Roto Power Projects Private Ltd (Transferor Company No. 1), Tenon Support Services Private Limited (Transferor Company No. 2) and Tenon Project Services Private Limited (Transferor Company No. 3) under Sections 230 & 232 of the Companies Act, 2013 (Act, 2013) r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation of the Petitioner Companies with Tenon Facility Management India Private Limited (Transferee Company). The registered offices of the Transferor Companies No. 1 to 3 are situated in the NCT of Delhi and hence, is under the jurisdiction of this Tribunal.

2. It is stated that the registered office of the Transferee Company is situated in the State of Haryana and therefore, it is under the jurisdiction of the National Company Law Tribunal, Chandigarh Bench.

3. It is stated that the Transferee Company has moved the necessary second motion Petition being CP (CAA) 19/CHD/HRY/2021, connected with the first motion Application being CA (CAA) 16/CHD/HRY/2021, before the National Company Law Tribunal, Chandigarh Bench.

4. The Board of Directors of the Transferor Companies No. 1 to 3 and the Transferee Company in their respective meetings on 01.03.2021 considered and unanimously approved the proposed Scheme of Amalgamation.

5. Transferor Company No. 1 is a Private Limited Company having Company Identification Number U74999DL1996PTC076501. The Transferor Company No. 1 is engaged in the business of providing technical facilities management services which include soft services like cleaning to high-end specialist services like workplace management and unique services like Critical Systems Engineering Building Operations and Maintenance Support Services, hard services such as predictive mechanical and electrical maintenance services, HVAC management and AMC (Annual Maintenance Contract) services and Telecom passive Infrastructure maintenance and management services; and other related activities.

6. Transferor Company No. 2 is a Private Limited Company having Company Identification Number U93030DL2008PTC181154. Transferor Company No. 2 is engaged in the business of providing facilities management services and other related activities.

7. Transferor Company No. 3 is a Private Limited Company having Company Identification Number U74120DL2008PTC181122. Transferor Company No. 3 is engaged in the business of handling technical project work for various clients which includes technical set-up of fire fighting equipments, electrical equipments, CCTV / security surveillance and unique services like Critical Systems Engineering Building Operations & Maintenance Support Services; and other related activities.

8. The Transferee Company is a Private Limited Company having Company Identification Number U45400HR2007PTC037415. The Transferee Company is engaged in the business of providing integrated facilities management services and other related activities. The Transferee Company has 600 Non- Convertible Debentures of Rs. 6,66,666.67 each aggregating Rs. 40,00,00,000.

9. It is stated that the Authorized, Issued, Subscribed and Paid up share Capital of the Transferor Companies and Transferee Company as per provisional Financial Statements for the period ended 31.03.2021 are as under:

Sl No.	**Company**	**Authorised Share Capital**	**Issued, Subscribed and Paid-up Share Capital**
1.	Transferor Company No. 1	Rs. 50,00,000 divided into 50,000 equity shares of Rs 100 each.	Rs. 21,50,000 divided into 21,500 equity shares of Rs

			100 each, fully paid.
2.	Transferor Company No. 2	Rs. 1,00,000 divided into 10,000 equity shares of Rs 10 each.	Rs. 1,00,000 divided into 10,000 equity shares of Rs 10 each, fully paid.
3.	Transferor Company No. 3	Rs. 1,00,000 divided into 10,000 equity shares of Rs 10 each.	Rs. 1,00,000 divided into 10,000 equity shares of Rs 10 each, fully paid.
4.	Transferee Company	Rs. 3,00,00,000 divided into 30,00,000 equity shares of Rs 10 each.	Rs. 1,98,98,040 divided into 19,89,804 equity shares of Rs 10 each, fully paid.

10. The Rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

    a. The Transferor Companies No. 2 & 3 are wholly owned subsidiaries of the Transferee Company. The Transferor Company No. 1 is a subsidiary of the transferee Company to the extent of 99.95%. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in business synergy, consolidation of subsidiary companies with their Parent / Holding Company and pooling of their resources into a single entry which would facilitate in exploiting the significant potential for growth.

b. The proposed Amalgamation would result in optimizing and leveraging the existing resources of these Companies for the most beneficial utilization of these factors in the combined entity. It would be advantageous to combine the activities and operations of all these Companies into a single entity and build strong capability to effectively meet future challenges in a competitive business environment.

c. The proposed Scheme of Amalgamation will result in usual economies of centralized and a large company including the elimination of duplicate work, reduction in overheads, better and more productive utilization of financial, human and other resources, and enhancement of overall business efficiency. The proposed scheme will enable these companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.

d. The amalgamation will result in a significant reduction in the multiplicity of legal and regulatory compliances which at present is required to be made separately by the Transferor Companies and the Transferee Company.

e. Greater efficiency in cash management of the Transferee Company and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities. The proposed amalgamation would enhance the value of the shareholders of the Transferor and Transferee Companies.

f. The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees, other stakeholders and all concerned.

11. It is stated by the Petitioner Companies that there are no pending proceedings for inspection, inquiry or investigation under the provisions of the Act, 2013 or under the provisions of the Companies Act, 1956.

12. The Transferor Companies have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. The Certificates from the respective Statutory Auditors of the Transferor Companies and of the Non-Petitioner Transferee Company are annexed and collectively marked as Annexure P-15.

13. It is also submitted that since the Transferor Companies No. 2 & 3 are wholly owned subsidiaries of the Transferee Company, no new share will be issued by the Transferee Company pursuant to the Amalgamation of the Transferor Companies 2 & 3 with the Transferee Company.

14. However, valuation exercise has been carried out to determine the Share Exchange Ratio for the proposed Scheme of Amalgamation to enable the Transferee Company to issue shares to the shareholders of the Transferor Company No. 1.

15. Mr. Sandeep Kumar Agrawal, a Chartered Accountant and Registered Valuer vide IBBI Registration No. IBBI/RV/06/2019/10705 has prepared the Report on Valuation of Shares and Share Exchange Ratio. The following share exchange ratio has been proposed:

> The Transferee Company viz., Tenon Facility Management India Pvt Ltd will issue 348 (Three Hundred and Forty Eight) Equity Shares of Rs. 10 each, credited as fully paid up, for every 10 (ten) Equity Shares of Rs. 100 each held in the Transferor Company No. 1 viz., Roto Power Projects Pvt. Ltd.

16. The Board of Directors of the Transferor Companies and of the Transferee Company, have unanimously agreed to the above-mentioned share exchange ratio and concluded that the proposed share exchange ratio is fair and reasonable to the shareholders and other stakeholders.

17. In view of the consent affidavits given by the Shareholders and Unsecured Creditors of the Transferor Companies No. 1 to 3, the requirement of convening meetings of the Shareholders and Unsecured Creditors of the Transferor Companies No. 1 to 3 was dispensed with by this Tribunal pursuant to order dated 07.12.2021.

18. As there are no Secured Creditors in the Transferor Companies No. 1 to 3, this Tribunal, vide order dated 07.12.2021, had dispensed with the requirement of convening the meeting of the secured creditors.

19. This Tribunal vide its Order dated 23.03.2022, directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in "Business Standard" (English and Hindi, Delhi Edition).

20. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication, dated 03.05.2022, confirming that notices, have been duly published in "Business Standard" (English, Delhi Edition) and "Business Standard" (Hindi, Delhi Edition) on 12.04.2022.

21. The Petitioner Companies have also served notice of the Company Petition to: (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, New Delhi; (c) the Official Liquidator, New Delhi; (d) the Income Tax Department.

22. In response to the above stated notice, the Regional Director has filed its report in the form of an affidavit dated 23.06.2022, along with the report of the Registrar of Companies wherein no objection has been raised against the Scheme of Amalgamation.

23. The Official Liquidator has also filed its report and stated that no complaint has been received against the proposed Scheme from any person/party interested in the Scheme in any manner and that the report is based on the documents submitted by the Petitioner Company. It is also stated that the affairs of the Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to the public interest as per the provisions of the Act, 2013 or Companies Act, 1956.

24. The Income Tax Department has also filed its report. It is stated that the Transferor Company has paid all its dues and no demand lies outstanding.

25. On perusing the reports, it is observed that the sanction of the present Scheme is not against public policy, nor would it be prejudicial to the public interest at large.

26. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme and the same to be binding on its Shareholders, Secured Creditors and Un-secured Creditors of the above named Petitioner Company and also on the Petitioner Company with effect from the appointed date, i.e., 01.04.2021.

27. While approving the Scheme as above, it is clarified that this Order should not be construed as, in any way, granting exemption from payment of stamp duty (if any is applicable), taxes (including Income Tax, GST or any other taxes/charges, if any are applicable) and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law. The Transferor Companies shall stand dissolved without undergoing the process of winding up.

28. The Petitioner Companies shall within thirty days of the date of the receipt of this Order, file a certified copy of this Order with the Registrar of Companies.

29. Any person interested in the above matter, shall be at liberty to apply before this Tribunal for such directions as may be necessary.

30. Accordingly, the Scheme stands **sanctioned** w.r.t. the Transferor Companies Number 1 to 3 and CP (CAA)-119 (PB) of 2021 stands **disposed of**.

The sanction of the scheme of the Non-Petitioner Company/Transferee Company has already been approved by the NCLT Chandigarh Bench vide order dated 25.08.2022.

RAMALINGAM SUDHAKAR
HON'BLE PRESIDENT

AVINASH K SRIVASTAVA
MEMBER (TECHNICAL)